

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) FMM — Semester III Examination, 2013-14

Paper No. BCF-213: Corporate Taxation

Time: 3 Hours

Maximum Marks: 70

Instructions: Answer all questions. All questions carry equal marks (14 marks each).

Question 1.

Write notes on the following:

[4.5+4.5+5]

- (a) Assessee
- (b) Assessment Year
- (c) Net Taxable Income

OR

Explain the characteristics of income tax.

[14]

Question 2.

State the conditions which an individual must fulfil in order to be called:

[5+5+4]

- (a) Resident
- (b) Not-ordinarily resident
- (c) Non-resident

OR

From the following Profit & Loss A/c of Mr. Rajkumar for the year ended on 31st March, 2013, compute Income from Business/Profession:

[14]

Expenses	Amount (Rs.)	Income	Amount
General expenses	5,000	Gross profit	1
Bad debts	2,500	Commission	
Insurance	750	Brokerage	
Provision for bad debts	1,500	Sundry receipts	
Staff salary	20,000	Bad debts recovered (earlier allowed)	
Salary of Rajkumar	5,000	Interest on debentures	
Interest on overdraft	5,000	Interest on deposits	
Interest on loan from Mrs. Rajkumar	2,500		
Interest on capital of Mr. Rajkumar	3,500		
Depreciation on machinery	8,000		
Advertisement expenses	7,500		
Contribution to EPF	5,000		
Net profit	79,750		
Total	1,46,000	Total	1,

Other informations are as follows:

- (i) Depreciation allowed on machinery is Rs. 6,500.
- (ii) Advertisement expenses include Rs. 4,000 spent on a neon sign board affixed on the office premises.
- (iii) An income of Rs. 750 accrued during the previous year is not recorded in P & L A/c.
- (iv) General expenses include Rs. 1,100 spent on the party of a friend.

Question 3.

A, B and C are equal partners in a trading firm. As per partnership deed A and B who are working partners are entitled to a salary of Rs. 40,000 each. Interest payable to all partners @ 12% per annum amounted to Rs. 4,000, Rs. 5,000 and Rs. 7,000 respectively. C is entitled to receive rent of Rs. 4,000 p.m. of the building owned by him and let out to the firm. In addition to salary B is entitled to a bonus of Rs. 20,000. All the partners are allowed a commission on sale, affected by each of them, which amounted to Rs. 10,000, Rs. 15,000 and Rs. 5,000 respectively. The amount of depreciation debited to P & L A/c is Rs. 30,000 and the allowable u/s 32 is Rs. 34,000. The amount of entertainment expenditure debited is Rs. 21,000. Net profit as per P & L A/c after debiting the interest, salary, bonus, commission, etc., is Rs. 50,000. Compute the book profit and taxable income of the firm for the assessment year 2013-14. [14]

OR

Explain the salient features of company assessment. Also discuss deductions allowed in computing total income of a company. [14]

Question 4.

Sri Ram is getting a salary of Rs. 80,000 per month from a concern. During the financial year, he contributed Rs. 20,000 to Recognised Provident Fund, Rs. 40,000 to Public Provident Fund, Rs. 1,000 per month as Life Insurance Premium and Rs. 15,000 to the National

Defence Fund. Compute the amount of tax to be deducted at source per month during previous year for the assessment year 2013-14. [14]

OR

When does the liability for advance tax arise? On what date and to what extent it is paid? [14]

Question 5.

What do you understand by Best Judgement Assessment? Discuss the provisions related to it under Income-tax Act, 1961. [14]

OR

Give the names of various Income-tax Authorities. Also discuss the powers of Income-tax Officer. [14]